

it, it busts the breakout. The move in the new breakout direction can be quite large. Unfortunately, the symmetrical triangle is one of the few patterns where double and triple busts are quite high. I'll discuss this in [Table 66.9](#).

The volume trend is predominantly downward in the triangle. Volume is 60,100 shares at the start of the right triangle but recedes until the day before the breakout, when only 4,600 shares trade. That's quite a decline.

Before you pronounce a chart pattern to be a symmetrical triangle, look to the left of the pattern. Is there a minor high that mirrors the one on the right? If so, then you might be looking at a (complex?) head-and-shoulders top.

A mirror image of the symmetrical triangle, one that is back-to-back with the one you have selected, probably represents a diamond top or bottom. When one of the trendlines in the triangle is horizontal (or nearly so), then the pattern is an ascending or descending triangle. All of these other chart patterns are ones that you need to search for. Many are more powerful than symmetrical triangles and give better performance.

Focus on Failures

Symmetrical triangles have two types of failures. The first is one of identification, and [Figure 66.4](#) shows an example.

I cannot stress how important it is to have at *least* five trendline touches. Many times a rounding bottom may tempt you to create a symmetrical triangle out of it. The price action seems to narrow over time, but there is really only one minor high. The figure shows a good example of a bad pick.

The bogus triangle begins with the minor high at point A, and price drops rapidly to the minor low at point B. Then price meanders up following the lower trendline before crossing to point C.

Price does not cross the pattern enough to qualify this as a valid symmetrical triangle, meaning there's too much whitespace. This pattern doesn't look like the one shown in [Figure 66.2](#).

[Figure 66.5](#) shows two more patterns. Let's discuss the left one, the February–March pattern.